9. In a common-size balance sheet, if the percentage of non-current assets is 75, what would be the percentage of current assets?

a) 175 b) 125 c) 25 d) 100

10. Expenses for a business for the first year were ₹ 80,000. In the second year, it was increased to ₹ 88,000. What is the trend percentage in the second year?

a) 10 % b) 110 % c) 90 % d) 11%

Answers	**1. (c)**	**2. (b)**	**3. (d)**	**4. (a)**	**5. (d)**	**6. (b)**	**7.(c)**	**8. (a)**	**9. (c)**	**10.(b)**

II Very short answer questions

1. What are financial statements?
2. List the tools of financial statement analysis.
3. What is working capital?
4. When is trend analysis preferred to other tools?

III Short answer questions

1. 'Financial statements are prepared based on the past data'. Explain how this is a limitation.
2. Write a short note on cash flow analysis.
3. Briefly explain any three limitations of financial statements.
4. Explain the steps involved in preparing comparative statement.
5. Explain the procedure for preparing common-size statement.

IV Exercises

Comparative statement analysis

1. From the following particulars, prepare comparative income statement of Arul Ltd.

Particulars	2015-16 ₹	2016-17 ₹
Revenue from operations	50,000	60,000
Other income	10,000	30,000
Expenses	40,000	50,000

(Answer: Revenue from operations: 20%; Other income: 200%; Total revenue: 50%; Expenses: 25%; Profit before tax: 100%)

2. From the following particulars, prepare comparative income statement of Barani Ltd.

Particulars	2016-17 ₹	2017-18 ₹
Revenue from operations	30,000	45,000
Other income	4,000	6,000
Expenses	10,000	15,000
Income tax	30%	30%

(Answer: Revenue from operations: 50%; Other income: 50%; Total revenue: 50%; Expenses: 50%; Profit before tax: 50%; Tax: 50% ; Profit after tax: 50%)

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